

that allows you to keep your loan as you move to a new property, meaning you won't need to refinance it. Bakos adds:

Searching for a property without a fully credit-assessed loan pre-approval can be a giant waste of time for a buyer. Often what we think we can borrow is quite different to what we can actually borrow. An increase or decrease in a shopping budget can make a significant difference, from target suburbs to dwelling types. Commencing the search without a framework is not wise and will often lead to heartbreak or, worse still, a purchase mistake. Aside from potentially wasting time searching for the wrong property in the wrong suburbs, buyers who commence the search without pre-approval often place themselves at a disadvantage when it comes time to negotiate or bid at auction.

Bakos says that a vendor who is presented with multiple offers will always accept the unconditional offer, which carries certainty. A conditional offer means that the buyer needs finance to be approved by their bank in order for the sale to go ahead. An unconditional offer does not have such 'wait and see' requirements, because the buyer is prepared. They won't stall the process by organising building inspections or seeking a loan; they have arranged finance and are committed to getting the deal done.

'And for those risk-takers who are happy to bid at auction without the comfort of a pre-approval, they risk losing their deposit and being sued for losses if they find they can't obtain finance and settle on the property they committed to buy,' Bakos says.